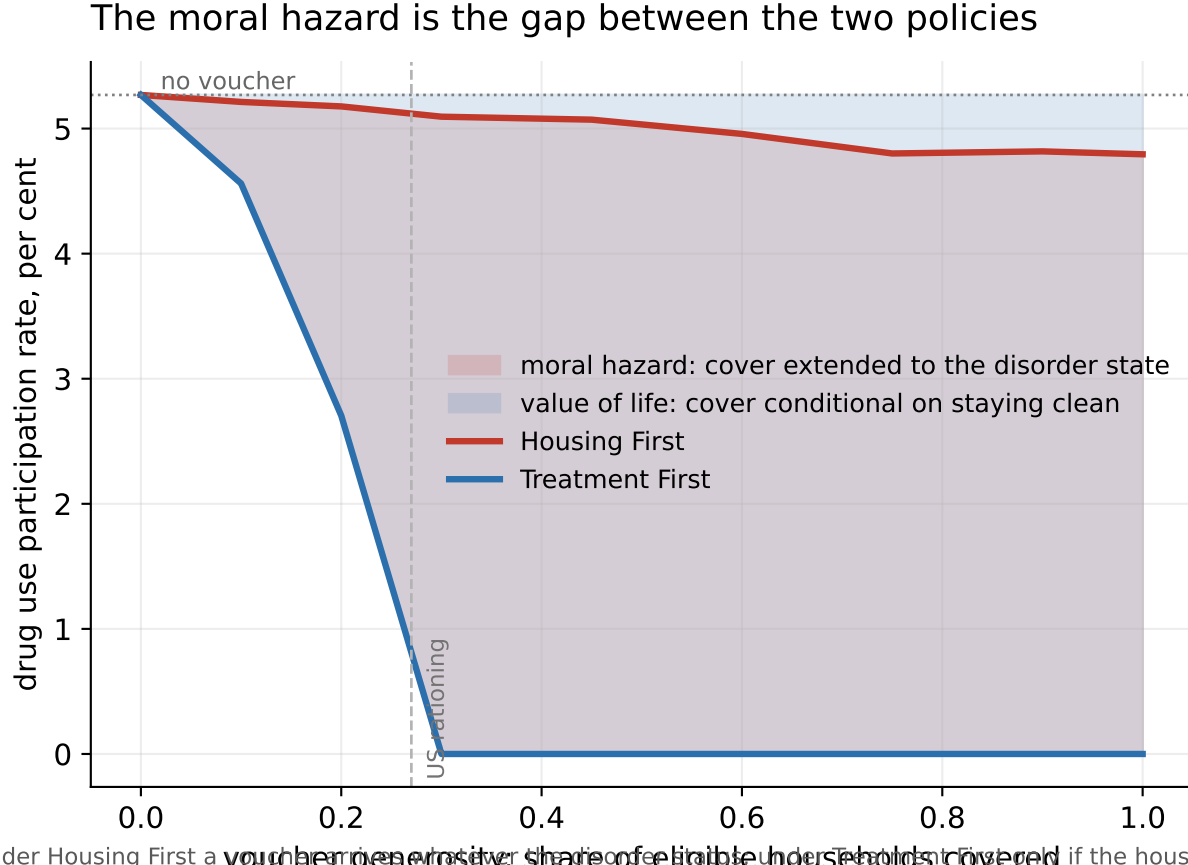

Under Housing First a voucher raises whatever the disorder state is under Treatment First, if the household is clean. The only thing the first adds to the second is cover in the disorder state, so the red band IS the moral hazard. Both forces grow with generosity and they work in opposite directions, which is why the net effect of housing assistance on drug use is not signed by theory.